

ORDER SHEET
IN THE ISLAMABAD HIGH COURT, ISLAMABAD.
JUDICIAL DEPARTMENT.

W.P. No.660-2022

Pakistan Telecommunication Employees Trust through its Trustees
Vs.

Federation of Pakistan etc.

S. No. of order/ proceedings	Date of order/ Proceedings	Order with signature of Judge and that of parties or counsel where necessary.
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21.04.2022

Mr. Rashid Anwar and Mr. M. Latif Saeedi, Advocates and Mr. Matee Ur Rehman, Manager (Legal), PTET for petitioner.
Ch. Imtiaz Ahmed, Syed Ishfaq Hussain Naqvi, Mr. Abdul Hameed Baluch, Mr. Shahid Riaz and Mr. Zeeshan Zafar Hashmi Advocates for respondents in their respective petitions.
Mr. Attique-ur-Rehman Siddiqi, Assistant Attorney General.

This order shall dispose of above mentioned writ petition as well as writ petitions mentioned in the Schedule attached herewith, as common questions of law are involved.

2. The petitioner is a statutory Trust and is aggrieved of dismissal of its applications by Federal Board of Revenue with respect to grant of exemption from income tax.

3. The facts, relevant for the purposes of present controversy, were mentioned in judgment dated 05.06.2017 in case titled 'Pakistan Telecommunication Employees Trust through its Trustees Vs. Federation of Pakistan etc.' (W.P. No.2666-2016), hence are borrowed from the said judgment and read as follows:-

"2. The facts, in brief, are that the petitioner is a Statutory Trust constituted under section 44 of Pakistan Telecommunication Re-Organization Act, 1996 (the Act) for the purpose of payment of pension to the retired employees of Telecommunication and Telegraph (T&T) employees. In this behalf, by virtue of Pakistan

Telecommunication Corporation Act, 1991 which was enacted on 25.11.1991, the then T&T was converted into a Statutory Corporation (PTC). On 02.04.1994, a Trust Deed was executed by PTC and the Trustees of Pakistan Telecommunication Corporation Employees Pension Fund to create a Pension Fund for the benefit of employees of T&T Department of the Federal Government. The referred Pension Fund was accorded approval under Part-II of Sixth Schedule to the repealed Income Tax Ordinance, 1979 by the Commissioner of Income Tax/Wealth Tax vide order dated 11.07.1994. On enactment of the Act, which repealed the Act of 1991, a Statutory Trust was created under section 44 of the same. Pursuant to Section 45(1) of the Act, all assets of the Pension Fund created as mentioned hereinabove, were transferred to the petitioner including the liabilities vide SRO No.116(I)/96. The petitioner is managed by the Board of Trustees and three of whom, are appointed by the Federal Government for the purpose of disbursement of pension to the employees noted hereinabove, which are called as 'Telecommunication Employees', who are defined in Section 2(t) of the Act. The petitioner applied for and was granted the exemption certificates from payment of tax as an approved 'Superannuation Fund' under Part-II of the Sixth Schedule to the Income Tax Ordinance, 2001 (the Ordinance) from 1999 to 2014 and also in terms of clause 57(3)(ii) of Part-I of the Schedule to the Ordinance. The petitioner filed applications before the Commissioner Inland Revenue (Respondent No.3) for issuance of certificates from deduction of tax on profit and from rental income under section 151 of the Ordinance read with Section 159 of the same, however, vide order dated 10.03.2016, the referred applications were rejected. The petitioner filed applications under section 122(b) of the Ordinance before Chief Commissioner Inland Revenue (Respondent No.2) for revision of the order dated 10.03.2016, but vide order dated 12.05.2016, applications filed by the petitioner were dismissed, which are being impugned in these writ petitions.

4. The petitioner, feeling aggrieved of the decision of refusal to grant exemption, also agitated the matter earlier, which forms part of decision in the referred writ petitions; one of

them being W.P. No.2666-2016, from which, facts have been borrowed. Moreover, the matters were also agitated before statutory forum provided in Income Tax Ordinance, 2001 and finally, were decided by Division Bench of this Court vide judgment dated 09.02.2022 in case titled 'Commissioner Inland Revenue (Appeals-II) and another Vs. Pak Telecommunication Employees Trust' (ITR No.38 of 2017).

5. At the very outset, learned counsel for the petitioner *inter alia* contended that since the questions of law, raised in the instant petitions, have been finally settled by the Division Bench of this Court in ITR No.38-2017, hence instant petitions be disposed of in light thereof.

6. Learned counsel for the respondents vehemently contested the submission of learned counsel for the petitioner and argued that these petitions merit dismissal, as the same are not maintainable and the questions raised therein, are different.

7. Arguments advanced by learned counsel for the parties have been heard and the documents placed on record, examined with their able assistance.

8. As noted above, controversy in hand, is about the status of the petitioner and its entitlement to exemption from income tax.

9. The referred questions were also the subject matter of litigation culminating in ITR No.37-2017 and were decided vide judgment dated 09.02.2022. For ease of convenience, questions raised in the Tax Reference are reproduced below:-

“a) Whether on the facts and in the circumstances of the case the Pakistan Telecommunication Corporation Employees

Fund (PTEPF) which was created through a separate trust deed on 02.4.1994, ceased to exist on 31st December, 1996?

b) *Whether a new entity Pakistan Telecommunication Employees Trust (PTET) which took birth on 13th October, 1996 through section 44 of Pakistan Telecommunication (Re-Organization) Act, as a separate entity, was required to obtain approval from CIR.*

c) *Whether the newly created entity namely PTET with re-organizational changes and a separate and distinct Trust Deed could avail exemption available to erstwhile PTEPF?*

d) *If the approval granted to applicant fund PTEPF on July 11, 1994 stood withdrawn on 13th October, 1996 then seventeen (17) exemption certificates issued by the department from 6.6.1999 to 14.4.2014 in favour of predecessor (PTEPF) and not the applicant fund, have any legal value as the same were issued to an entity, which, in fact, did not exist at the time of issuance of those exemption certificates.*

e) *Whether on the facts and in the circumstances of the case the learned ATIR was justified or not to rely on section 53 of Pakistan Telecommunication (Re-Organization) Act, 1996 to infer the continuity of the predecessor fund (PTEPF) where section 53 deals with revocation/winding up of a Trust which means that the applicant fund has been created as a revocable trust contrary to the provisions of Rule 2(a) of Part-II of the Sixth Schedule to Income Tax Ordinance, 1979 which requires that a superannuation / pension fund shall be a fund under an irrevocable trust.”*

10. The answers, to the referred questions, have been elaborately provided in the referred judgment. The relevant paragraphs from judgment dated 09.02.2022 are reproduced below:-

“38. It is an admitted position that the P.T.C.E. Pension Fund, constituted through Trust Deed dated 02.04.1994 was accorded approval on 11.07.1994 by the Commissioner of Income Tax / Wealth Tax, Islamabad Zone in terms of Part-II of the Sixth Schedule to the 1979 Ordinance. This approval gave the P.T.C.E. Pension Fund the status of an “approved superannuation fund” as defined in Section 2(5) of the 1979 Ordinance. Section 14(1)(a) read with Clause 56(2)(ii) in Part-I of the Second Schedule to the 1979 Ordinance makes the income of an approved superannuation fund exempt from tax. The P.T.C.E. Pension Fund did not pay tax on its income on account of having the status of an approved superannuation fund.

39. As explained in paragraphs 13 to 18 above, P.T.E.T. was established by the Federal Government pursuant to the provisions of Section 44(1) of the 1996 Act, and by dint of Section 45(1) of the said Act read with the notification dated 07.02.1996, all the assets and liabilities of the P.T.C.E. Pension Fund stood transferred

and vested in P.T.E.T. In other words, P.T.E.T. became the P.T.C.E. Pension Fund's successor-in-interest.

*40. The non-obstante clause in Section 51 of the 1996 Act made P.T.E.T.'s investments, income, assets, and wealth exempt from payment of all kinds of duties, levies, charges and fees payable under any Federal or Provincial law. This exemption came to an end with the omission of Section 51 *ibid* by Section 26 of the Finance Act, 1999. It is perhaps this omission that caused P.T.E.T. to apply to the Commissioner Income Tax for the grant of an exemption from tax.*

41. On 09.06.1999 the Commissioner of Income Tax / Wealth Tax, Companies Zone, Islamabad issued a certificate exempting P.T.E.T.'s income from the levy of tax. It is not disputed that P.T.E.T. had been granted similar exemptions from tax under the provisions of the 1979 Ordinance, and after the promulgation of the 2001 Ordinance under Section 159 of the said Ordinance, every year for a period of sixteen years i.e., from 1999 to 2014.

42. By virtue of Section 53(1)(a) of the 2001 Ordinance, the income or the classes of income, or persons or classes of persons, specified in the Second Schedule to the said Ordinance are exempt from tax under the said Ordinance subject to any conditions and to the extent specified therein. As mentioned above, Clause 57(3)(ii) of the Second Schedule to the said Ordinance makes the income of the trustees on behalf of an approved superannuation fund exempt from tax. The several exemption certificates issued by the Commissioner to P.T.E.T. under Section 159 of the 2001 Ordinance were because the Inland Revenue Service / Commissioner considered P.T.E.T. to be an approved superannuation fund in terms of Part-II of the Sixth Schedule to the 1979 Ordinance and the 2001 Ordinance.

43. Now, the Commissioner would be deemed to have knowledge of the provisions of the 1996 Act as well as the notifications issued by the Federal Government for the establishment of P.T.E.T., and the transfer of the P.T.C.E. Pension Fund's assets and liabilities to P.T.E.T., when every year from 1999 to 2014 he issued a certificate exempting P.T.E.T.'s income from the levy of tax. He would also be deemed to be aware of the composition of P.T.E.T.'s Board of Trustees and the functions that they could perform under Section 46 of the 1996 Act. He cannot claim lack of knowledge as to the said statute and notifications, all of which were published in the official Gazette. The exemption certificates granted over a period of sixteen years cannot simply be ignored as the Inland Revenue Service would want this Court to do.

44. Rule 3(2) in Part-II of the Sixth Schedule to the 2001 Ordinance (which is similar in material particulars to Rule 3(2) in Part-II of the Sixth Schedule to the 1979 Ordinance) provides that if any alteration in the regulations, constitutions, objects or conditions of the fund is made at any time after the date of the application for approval, the trustees of the fund shall forthwith communicate such alteration to the Commissioner and in

default of such communication, any approval given shall, unless the Commissioner otherwise directs, be deemed to have been withdrawn from the date on which the alteration took effect.

45. The Inland Revenue Service's stance is that the creation of P.T.E.T. by dint of the provisions of the 1996 Act operated as an alteration in the constitution, objects or conditions of the P.T.C.E. Pension Fund created through the Trust Deed dated 02.04.1994, and therefore the approval granted by the Commissioner on 11.07.1994 under the Sixth Schedule to the 1979 Ordinance would be deemed to have been withdrawn. This stance is belied by its own conduct and departmental practice over a period of sixteen years viz the issuance of exemption certificates under Section 159 of the 2001 Ordinance. Each of the exemption certificates had been issued by the Commissioner after the enactment of the 1996 Act and the establishment of P.T.E.T. These exemption certificates were not granted to the P.T.C.E. Pension Fund but to P.T.E.T., which was a creature of the 1996 Act. In these exemption certificates, it is explicitly mentioned that the income of P.T.E.T. is exempt from the levy of tax. These exemption certificates were granted by different Commissioners who are proficient in fiscal laws.

46. It is an admitted position that after the promulgation of the 2001 Ordinance, P.T.E.T. did not apply afresh for the recognition of P.T.E.T. as an approved superannuation fund. The Inland Revenue Service continued to grant exemption certificates under Section 159 of the 2001 Ordinance by giving the approval granted to the P.T.C.E. Pension Fund on 11.07.1994 protection under Section 239(10) of the 2001 Ordinance, which is reproduced herein below:-

"(10) Any agreement entered into, appointment made, approval given, recognition granted, direction, instruction, notification, notice, order or rule issued or made under any provision of the repealed Ordinance and in force or valid at the commencement of this Ordinance shall, so far as it is not inconsistent with the corresponding provision of this Ordinance or any agreement, appointment entered into, approval given, recognition granted, direction, instruction, notification, notice, order or rule issued or made under this Ordinance, be treated as entered into, made, given, granted or issued, as the case may be, under that corresponding provision and shall unless revoked, cancelled or repealed by, or under, this Ordinance, continue in force accordingly."

(Emphasis added)

47. Now, the approval to accord recognition to the P.T.C.E. Pension Fund by the Commissioner on 11.07.1994 under the provisions of the repealed 1979 Ordinance had not been withdrawn and was in force when the 2001 Ordinance was promulgated. Therefore, the said approval is to be treated as also having been accorded under the relevant provisions of the 2001 Ordinance. Section 239(10) and (13) of the 2001 Ordinance empowers the authority that gave an approval or recognition to amend, modify, cancel or repeal such

approval or recognition. At no material stage has the approval dated 11.07.1994 been revoked or cancelled.

48. Rule 1(1) in Part-II of the Sixth Schedule to the 2001 Ordinance provides that the Commissioner may accord approval to any superannuation fund or any part of a superannuation fund which, in his opinion, complies with the requirements of Rule 2 and may, "at any time withdraw such approval" if, in his opinion, the circumstances of the fund or the part, as the case may be, cease to warrant the continuance of the approval. Rule 1(2) of the Sixth Schedule provides that an order according approval "or withdrawing approval" shall take effect from such date as the Commissioner may fix. Rule 1(3) of the Sixth Schedule provides inter alia that the Commissioner shall not withdraw approval to any superannuation fund unless he has given the Trustees of that fund a reasonable opportunity of being heard.

49. Rule 2 in Part-II of the Sixth Schedule to the 2001 Ordinance provides that in order that a superannuation fund may receive "and retain approval," it shall satisfy the following conditions and any other conditions that the Board may prescribe by rules:-

"(a) the fund shall be a fund established under an irrevocable trust, in connection with a trade or undertaking carried on in Pakistan, and not less than ninety per cent of the employees shall be employed in Pakistan;

(b) the fund shall have for its sole purpose the provision of annuities for employees in the trade or undertaking on their retirement at or after a specified age or on their becoming incapacitated prior to such retirement, or for widows, children or dependants of persons who are or have been such employees on the death of these persons;

(c) the employer in the trade or undertaking shall be a contributor to the fund; and

(d) all annuities, pensions and other benefits granted from the fund shall be payable only in Pakistan."

50. The aforementioned conditions are required to be satisfied by a superannuation fund, not just in order to obtain an approval under Rule 1 but also to continue to retain the same. Therefore, the requirement to fulfill the said conditions by an approved superannuation fund is a continuing obligation. The mere fact that the Commissioner had been issuing exemption certificates under Section 159 of the 2001 Ordinance over a period of sixteen years, would lead to an inference that P.T.E.T. (the successor-in-interest of the P.T.C.E. Pension Fund) continued to remain compliant with the said conditions.

51. A conjoint reading of Rules 1(1), 1(2) and 1(3), and Rules 2 and 3(2) in Part-II of the Sixth Schedule to the 2001 Ordinance shows that the Commissioner, after affording an opportunity of a hearing to the trustees of an approved superannuation fund, can withdraw the approval if he considers such a fund not compliant with the conditions enumerated in Rule 2 or any other condition prescribed in the rules made by the Federal Board of Revenue. The thrust of Mr. Randhawa's argument was that the organizational and constitutional structure of P.T.E.T. was not such as would entitle it to an approval

under Part-II of the Sixth Schedule to the 2001 Ordinance. If the investments being made by P.T.E.T. are not such as are permissible to an approved superannuation fund, or P.T.E.T. does not fulfil the conditions set out in Rule 2 in Part-II of the Sixth Schedule to the 2001 Ordinance, or if the Commissioner is of the view that the approval given to the predecessor-in-interest of P.T.E.T. on 11.07.1994 under the provisions of the 1979 Ordinance is inconsistent with the corresponding or pari materia provisions of the 2001 Ordinance, the question which therefore begs an answer is why has the Commissioner not resorted to the procedure for the withdrawal of the said approval? It is, after all, the said approval that formed the basis for the issuance of certificates exempting P.T.E.T.'s income from tax over a period of sixteen long years. As long as the approval dated 11.07.1994 is in the field, P.T.E.T. should be treated as an approved superannuation fund (as did the Commissioner during the period between 1999 and 2014) and cannot be denied benefit under Section 53(1)(a) read with Clause 57(3)(ii) in Part-I of the Second Schedule to the 2001 Ordinance. This Court cannot arrogate to itself the role of a Commissioner under Part-II of the Sixth Schedule of the 2001 Ordinance and declare that the said approval dated 11.07.1994 lost its efficacy on the establishment of P.T.E.T. when the Commissioner has exempted P.T.E.T. from the payment of tax on the basis of said approval over a period of sixteen years and has not initiated any proceedings for the withdrawal of the said approval.

52. Vide un-reported order dated 11.07.2018 passed by the Division Bench of this Court in Intra Court Appeal No.232/2017 titled "Pakistan Telecom Mobile Limited Vs. Federation of Pakistan," it was held that the exemption certificates issued by the Commissioner to Pakistan Telecom Mobile Limited under Section 159 of the 2001 Ordinance would remain valid till the recognition of their funds had been withdrawn in the manner described in the Sixth Schedule to the said Ordinance. The petitioner in the said case had challenged a circular issued by the Federal Board of Revenue to the effect that the persons who were required to withhold income tax would be entitled to avail exemption if a valid exemption certificate under Section 159 of the 2001 Ordinance had been issued by the concerned Commissioner of Inland Revenue and the same is produced by the withholdee. The operative part of the said order is reproduced hereinbelow:-

"9. In the light of the above discussion it is obvious that the appellants are justified in arguing that compelling them to obtain exemption certificates is a futile exercise because recognition of the fund is in itself an acknowledgement of being eligible for the purposes of the exemption provided under clause 57 of part I of the Second Schedule. They also have force in the argument that as long as the recognition of the fund under the Sixth Schedule remains valid, compliance of section 159 requirements is a mere formality. A plain reading of the Sixth Schedule shows that in case the

Commissioner intends to withdraw the recognition of a fund then he or she is under a statutory obligation to afford an opportunity of hearing to the trustees. When section 2(48), clause 57 of Part I of the Second Schedule and the Sixth Schedule are read together then it becomes obvious that the recognition granted in case of a fund defined under section 2(48) amounts to certifying that the entity is entitled and eligible for the purposes of exemption. In such an eventuality provisions of section 159 of the Ordinance of 2001 and compliance therewith indeed is a mere formality. The exemption under clause 57 of Part I of the Second Schedule is no more applicable nor attracted when the recognition of the fund is withdrawn by the concerned Commissioner after fulfilling the conditions prescribed under sub-regulation 4 of Regulation 1 of Part I of the Sixth Schedule.

10. A plain reading of section 159 as a whole shows that there is no requirement to apply for and obtain an exemption certificate for each financial year or on case to case basis. The concerned Commissioner, therefore, while granting recognition under the Sixth Schedule of the Ordinance of 2001 is empowered to simultaneously issue an exemption certificate under section 159 of the Ordinance of 2001 which would then remain valid as long as the recognition of the fund is not withdrawn under the Sixth Schedule. The exemption certificate would be valid unless the recognition has been withdrawn in the manner prescribed under the Ordinance of 2001. The learned counsels for the Department could not give any plausible explanation for compelling the appellant to obtain exemption certificates for each financial year when admittedly in case of a recognized fund clause 57 of Part I of the Second Schedule is attracted.

11. The learned Single Judge in Chambers has rightly interpreted the provisions of the 2001 Ordinance in holding that the provisions of section 159 cannot be made redundant. The learned Lahore High Court in the judgment, dated 10-10-2017 rendered in W.P. No.32241 of 2015 titled 'Usman Hassan and another vs. Federation of Pakistan and others' has also dealt with in detail the question of efficacy of obtaining an exemption certificate under section 159 of the Ordinance of 2001 when entitlement to avail exemption is not denied. Nevertheless, with utmost respect we do not concur with the view that section 159 is not attracted. However, as we have noted above, the Commissioner as a public functionary has to observe the principles of fairness and to exercise discretion in accordance with the law enunciated by the superior Courts.

12. We, therefore, hold that granting recognition under the Sixth Schedule is in itself an acknowledgement by the Commissioner that the fund has become eligible for the purposes of exemption specified under clause 57 of Part I of the Second Schedule. The Commissioner after granting recognition may, therefore, issue an exemption certificate, which shall remain valid until the aforesaid recognition has not been withdrawn in the manner prescribed, inter-alia, under sub-regulation 4 of Regulation 1 of Part I of the Sixth Schedule of the Ordinance of 2001. It is an admitted position that the respective funds of the appellants are recognised under the Sixth Schedule of the Ordinance of 2001 by the concerned Commissioners. It is also not denied that the appellants would be eligible to avail exemption till the recognition remains subsisting. It is also not disputed that after recognition of the fund issuance of a certificate under section 159 of the Ordinance 2001 become a mere formality.

13. For the above reasons we allow the appeals and direct the concerned Commissioners to issue exemption certificates in favour of the appellants which would remain valid till the recognition of their respective funds have not been withdrawn in the manner prescribed under the Sixth Schedule of the Ordinance of 2001. The same shall be a sufficient compliance insofar as the withholders are concerned. The impugned judgment, dated 19-05-2017, therefore, stands modified in the above terms.”

53. In view of the above, the questions of law framed for our consideration are answered in the negative. There shall be no order as to costs.

54. In its reference applications No.30, 31, 32, 33, 34 and 35 of 2017, P.T.E.T. has raised a ground that the power conferred upon the Commissioner under Section 122(5A) and (6) of the 2001 Ordinance cannot be exercised by the Additional Commissioner Inland Revenue in the absence of specific delegation on case to case basis. Since we have decided not to interfere in the judgment of the A.T.I.R. whereby the Additional Commissioner's order was set-aside therefore, this ground has become infructuous. Moreover, learned counsel for P.T.E.T. did not seek formulation of a separate question for determination by this Court in the said reference applications and did not advance any argument in this regard”.

11. The bare perusal of the questions framed in the referred Income Tax Reference and reply thereto shows that controversy, raised in the petitions before this Court, is exactly the same as was in the Tax References and the learned counsel for the petitioner rightly pointed out that petitions are to be decided on the basis of decision in the Tax References.

12. In view of aforesaid position, the impugned order passed by Commissioner, whereby revision petition filed by the petitioner, stand set aside; consequently, status of the petitioner and entitlement to exemption shall be governed in light of aforementioned reasoning by Division Bench of this Court vide judgment dated 09.02.2022 as reproduced above.

13. Disposed of accordingly.

**(AAMER FAROOQ)
JUDGE**

Sr. No.	Case No./Year	Title
1.	W.P. No.659-2022	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
2.	W.P. No.661-2022	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
3.	W.P. No.837-2019	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
4.	W.P. No.838-2019	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
5.	W.P. No.765-2021	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
6.	W.P. No.2587-2020	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
7.	W.P. No.2588-2020	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
8.	W.P. No.2589-2020	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
9.	W.P. No.2590-2020	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
10.	W.P. No.1837-2021	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.
11.	W.P. No.3754-2021	Pakistan Telecommunication Employees Trust Vs. Federation of Pakistan, etc.